

Life expectancies have increased so much that their portfolios should move from 70/30, shifting to 60/40 and then 50/50 over time.

We often see younger investors fail to take enough risk; they carry way too much cash and bonds for their multi-decade time horizon. We also see the opposite: People who should be in a preservation mode, but are still aggressively embracing far more risk than they need to achieve their goals. That increases potential volatility and portfolio drawdowns.

Successful entrepreneurs and businesspeople—hard-working, competitive, and driven—can have difficulty transitioning between these different phases. They are not used to throttling back, and this can show in their portfolios, often more volatile and aggressive than necessary.

Assess your progress on your timeline; determine whether you can adapt to each phase of your financial life cycle yourself. It is not difficult, and with some time and thought, many people can handle it themselves. (Whether you want to or not is a different question.) If you need assistance, find it sooner rather than later.

3. How disciplined are you?

Behavior is the single biggest problem for most investors, and it is the area where financial advisors deliver significant value. Vanguard has studied this and termed the help “Advisor’s Alpha.”⁴⁰³ They estimate its impact is as high as 3% annually.

The biggest obstacle to your success is not your lack of stock-picking prowess or inability to time markets, but your inability to manage your own behavior. And unlike whatever the Federal Reserve does at the FOMC meeting next month, this is within your control.

Can you do this yourself? Yes, but you must be a disciplined investor. You should have an investment philosophy that can be expressed in a portfolio. This philosophy should include specific rules that you do not ignore. You want a portfolio with low costs, low turnover, low taxes, and a long holding